# Mohnish Pabrai's Session at the Diary of a CEO on July 13, 2025

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Steven: Thank you, Mohnish Pabrai. With the work that you do and the public education that you have done more recently in your career, what is the message you are trying to convey? Can you summarize that message and tell us to whom exactly you are conveying it?

Mohnish: It depends on what message. There are a few different mental models that I have figured out over the last few decades. When you have clarity on these mental models, and especially when you can start overlaying them, that is when you get one plus one becomes 11. These mental models are not all in the same direction or in the same genre.

Steven: Let us pause there for a second. The phrase “mental models” means a framework for thinking.

Mohnish: Yes.

Steven: One such example of a framework for thinking is the idea of cloning.

Mohnish: Yes. Let us take the mental model of cloning. What we are taught is that if you want to start a business, you need to come up with something new, something that has not been done before. But the reality is that the world will easily accept three to five of the same thing. It is an advantage to look at something that already exists and say, “Can another one of those exist? Can I take what is there and tweak it a little bit?” There is something peculiar in the human psyche, maybe going back into our history and our ancestral evolution, where humans look down upon cloning. But if you look at it, two of the greatest cloners in human history were Bill Gates and Sam Walton. We think of Bill Gates as an innovator, and we think Sam Walton created Walmart, which was also new, but as a matter of fact, they are both “Me Too” models. Microsoft would not have existed without being a great cloner. When we look at Microsoft Word, it came from WordPerfect. We look at Excel, which came from Lotus. We look at Bing, which came from Google. Everything that Microsoft has done well has come from copying someone on the outside. When we look at Sam Walton, from the Walton family, if you pull them all together, it is the richest family in the world. It is richer than Elon and everyone. Sam Walton, by his own admission, would tell you that he has no original ideas. Walmart cloned Sears and Kmart.

Steven: For my international listeners, these are two big supermarket chains.

Mohnish: True. But they are both gone. In fact, Walmart buried them. Sam Walton was one of the most intense cloners ever. If he were driving on vacation with his family and he passed a retail store, he would tell his family to stay in the car, and he would go into the store just to check it out. He said that there is no human who has lived in history or will live in the future who has visited more

retail stores than he has. At times, he would go in with his managers to these stores. Retail is one of the most transparent businesses. You can go into your competitive store, and you will figure out the entire business model in 10 minutes. You do not need to talk to them. It is beautiful. One time, he went into a retail store with his manager, and the manager said to him, "Oh, what a terrible operation. The whole store was topsy-turvy. It was extremely bad." Sam says to him, "Yes, but did you see the candle display? The candle display was fantastic." Sam felt that he could learn from anyone. It did not matter if you were a useless operator or a great operator, or in the middle. Walmart is just an amalgamation of ideas from other places. If we look at a company like Starbucks, we think of it as innovative. But what Howard Schultz did was he saw a concept in Italy, and thought that this idea would work in the US. He cloned that idea from Italy and brought that coffee shop experience to the US. If you are a great cloner, you will be 90% or 95% ahead of the rest of humanity.

Another mental model is that humans have the perspective that starting a business is risky. In reality, entrepreneurs do not take risks. They do everything in their power to minimize risk. In many cases, when they embark on a business, the risk approach is zero. What is extremely risky is a nine-to-five job, because we have one life, and it goes away. You may not get to do what is in your heart. You may not get your music out. Getting our music out is important. This notion, which is drilled into us, that if you are an entrepreneur, you are taking a risk, does a big disservice to most humans. If humans understood that if I embark on a business, I can do it in a format where the risk is zero or close to zero, and I can clone an existing business, then you have combined two mental models, and we can start adding more to them. But two has become 11, one plus one has already become 11. It is non-linear. Why am I saying that entrepreneurs do not take risks? If I take my own case as an example, and I can give you a hundred cases like that, I was working nine to five at a company, and I had a business idea. My employer expected me to work 40 hours a week. There are 168 hours in the week, so I felt there must be at least another 30, 40 hours that I could work on my start-up.

Steven: Could you show me this in context?

Mohnish: If we look at our whole week, imagine it as these beautifully arranged Legos. Each one of those blocks in there is two hours. We are sleeping eight hours a day, and we are doing that seven days a week. The blue Legos are showing our 40 hours a week of work (eight hours a day, five days a week). Then we get to other things like preparing dinner, showering, shaving, getting ready, whatever else. That is about four hours a day on weekdays, which includes commute time, and about eight hours a day on the weekend. Then we get to free time like social media, watching Netflix, hanging out with friends, and going for dinner. We have quite a bit. We have about four hours a day of doing that and about eight hours a day on the weekend. This is what a typical week for most people would look like. When you are starting a business, the important thing is not to shut off the cash flow. Some other yo-yo is paying your rent, and some other yo-yo is paying your groceries. We do not want to rock the boat, but we are going to make one change to blue.

Steven: The blue, which is the number of hours I am working for my nine-to-five.

Mohnish: Yes. Before I started my start-up, I used to get top reviews as an employee. I was focused on doing a great job for my employer. The day I decided I was going to do my own start-up, I thought I needed to be just above firing level. My performance needs to be just good enough so they do not fire me, but nothing beyond that, because I need all my energy to go into my start-up. The only tweak I am making is that the blue stays. But we are not doing extra blues like we were doing before.

Steven: For those who are listening on audio and cannot see, blue is work.

Mohnish: Exactly. When we embark on a start-up, we should never start it to make money. It is the worst reason to start a company. The purpose of business is not to make money. The purpose of business is to deliver an incredible product or service to humanity. If you do that, the money is a side effect. It will happen. We do not need to focus on it. What we are looking for is whether we have a product or service we could bring into the world– something that will improve it in some way.

Steven: How do I know if it is a good idea?

Mohnish: Whatever idea you have come up with is not going to work because you came up with it in an ivory tower between your ears. That is not a great place to find great ideas. What is going to happen is we are going to be doing what I call rapid prototyping, which is we take this idea and show humans what it is. When you show it to humans, you will get feedback.

Let me explain this in more practical terms. When I was starting my first business, it was going to be an IT (information technology) services business. I was going to be providing these services to large businesses; companies that are a billion dollars or more in earnings or cash flows. I was in a meeting with a senior IT guy at a large bank in Chicago, and I was going through my PowerPoint deck with them. When I got to slide 10, I gave my spiel, then moved on to slide 11. The boss, who was sitting in on the meeting, stopped me and said, "Go back to slide 10. I went back, repeated my points, and moved forward again. He interrupted: "Go back to slide 10. Do not change the slide. I am not interested in any of the others." I went back to slide 10, and all he wanted to talk about was what was on slide 10. My whole deck was about seven different things we could do, but slide 10 covered the one that was an extreme pain point for him. He needed help on that one thing. He did not need help on all the other points I was talking about.

When you are doing a start-up, you have to listen carefully. Your customers or potential customers will tell you exactly what you need to do. Whatever you came up with could be 80% or 70% or 40% right. But your customer will tell you what is 100% right. Because that is a real pain point. I went back and thought about it, and I realized that his pain point (and I could see it was a severe pain point because he gave me a purchase order at the end of that meeting) was going to be a pain point for a lot of people. I went back, took slide 10, and expanded it into 20 slides. That became the deck. Everything else got thrown away. I could not have done that without him. My brain was too small to have figured that out. Anytime you are working on a start-up of any kind, and you have a prototype or an early product or something going on, your users are going to tell you exactly what tweak they want.

Steven: As the salesperson that day in that meeting with what you know now, how could you have done a better job without going through all of those slides?

Mohnish: What I would do now if I were doing something like that is that my radar on listening would be 10X. We do not learn when we speak; we learn when we listen. I would be trying to talk less and extract more, and I would not even rely so much on slides. I would like to try to bring them into what they are trying to say.

If you study businesses, venture-backed, non-venture-backed, whatever, this is a common thing. There are almost no businesses that end up with the business model that was originally conceived. That would be such an anomaly. It is the interplay between the founding team and the early customers that leads to taking this wet clay and making it into something that people want. If you think of something like Google Glass, when they came up with those glasses that they thought the whole world was going to wear. It did not work. Why did it not work? The reason is that you are talking about something extremely personal. For example, Wrigley's chewing gum. My mouth is a personal space. I am not going to just put any random kind of chewing gum in there. You are not going to put some brand that is half the price of Wrigley's in there, because you do not want to go there. That is not of interest to you. When we wear glasses or sunglasses or anything we wear, that is personal. The ergonomics and the human factors are important. Meta is trying to do the same thing, but they partnered with Ray-Ban. They did a joint venture with Ray-Ban. Those glasses look like normal glasses, and I believe there is a higher chance of success.

Steven: Well, I have some. I use them.

Mohnish: You do not have any Google Glass?

Steven: No. They stopped the project, right?

Mohnish: Yes. What I am trying to say is that we have to pay close attention to the customer. Steve Jobs was right. The customer does not know what he wants. But if you put it in front of them, then they can now tweak and tell you exactly what they want. That is another mental model. Now, we get to the third model, which is that you are not smart enough if the team you have is not smart enough to figure out what people want. You have to have good listening skills, and you have to have the flexibility to separate the signal from the noise when you are listening. Take in the real signal and leave out the noise, and then you are starting to get down a path that is going to make more sense.

Steven: The other thing that is kind of a model, maybe woven into there, was this idea of attention to detail. I am not even sure if that is a model, but when you told me about Sam Walton lying between the aisles to measure the exact length, the model there for me was precision in detail.

Mohnish: It is a game of inches. When Sam Walton was trying to figure out the name of the company, one of the reasons he went with Walmart was, it was seven letters. He was looking at the cost of putting up signage in his stores, and he was trying to come up with a name with the fewest letters because it would cost less. Cost sensitivity is all over the place in Walmart. That is just front and center with what they do. They squeeze blood out of rock. That is the reason why they became so successful.

One of the things you can always control in business is your costs. You may not be able to control your margins, selling prices, and a lot of other things, but you can always control costs. That is another model where you have to have discipline. You have to have strong discipline on the cost side. If you look at something like LVMH, the guy who runs it is in luxury goods. He is in high-end.

Steven: LVMH makes Louis Vuitton.

Mohnish: Yes. They have taken over Tiffany's and everyone else. But when you look at how the company is run, it is tight. He spends money on the best real estate because that is important. But the deals he negotiates on those real estates are mind-blowing. It is a tightly run operation on a product category that does not necessarily need it. But that is why he has become the wealthiest guy in Europe.

Steven: Because that mentality will then apply to every decision.

Mohnish: Absolutely.

Steven: If you apply it to a hundred things, it does matter.

Mohnish: Yes, it does matter. Big time.

Steven: I have these yellow blocks here, which represent working hours on your own business.

Mohnish: Yes.

Steven: Show me how you would take some of these blocks away and introduce hours working on your own business.

Mohnish: It is quite simple. We are not going to mess with our sleep cycles. We are going to leave that alone.

Steven: Sleep stays the same.

Mohnish: We need our blue, which is our working hours, to continue. One of the changes we are going to make is we are going to live close to work. We are going to cut down commute time as much as we can because every hour matters. The area that we are going to focus on is free time. The reason why taking out the free time is not a problem is that what we are embarking on, like we just discussed, is not about making money; it is about getting our music out.

Steven: Getting our music out. What do you mean by that?

Mohnish: It means that we have something in us that we know the world needs, and we want to bring it to the world. Because we want to bring it to the world, it is not work.

Steven: I think the audience might be challenging themselves in the head and saying, “But I love the thing I do for work. I am one of the rare groups of people who get to work with puppies every day, and I love that.”

Mohnish: This is not for everyone. You have to ask yourself who you are. If you are truly excited about your nine-to-five job and what you are spending your main waking hours on, then that is awesome. That is great. Not everyone is going to be an entrepreneur. Everyone is not going to have a start-up. They

may be getting their music out in a different way on someone else's platform, which is perfectly fine. But if that is not you, when you go to work, you are not super excited to get up in the morning, and you are not tap dancing to work every day, then there is something wrong. You have to ask yourself, "Is there something else that I am passionate about that I want to do?" This is not something that should take a lot of effort.

Let us look at Bill Gates and Paul Allen. Bill Gates is at Harvard, and he sees a magazine that shows an early personal computer. He realizes that there is a paradigm shift and that he needs to be part of it. Paul Allen is the one who sent him that magazine. He told Bill, "We have to go and do this now. This is our time now." For Bill, it was an easy decision, but for his parents, it was difficult. His parents were in shock that he was going to abandon his degree. He told his parents, "Do not worry about it. I am going to come back and I will finish the degree." Several decades later, Harvard gave him an honorary degree. His parents were in the audience, and he told them, "I told you I would come back and finish the degree."

Steven: There are some numbers to this. According to the statistics, 12% of people who are listening right now are explicitly unsatisfied with their job, which means they hate it. 85% of workers globally are disengaged, meaning they are not fully invested or happy at work. It is a huge number of people. More than half of the US workers are at least somewhat satisfied. But engagement remains worryingly low.

Mohnish: Sure. It is not just enough to be unhappy at work. That is one piece of it. The unhappiness can be a symptom. One of the causes can be that you have a different calling in life, and you are not following your calling. Bill Gates and Paul Allen figured out their calling, and they just went. For many of us, it may not be that easy. What we have to do is we have to try a few things. You try on different shoes to see what fits; have some thought experiments, talk to your friends, and imagine those situations. For example, say, "I am a UPS driver, this is what I do, and I like playing the guitar." Or "I like to make these art figurines or something at home." You have to figure out what your calling is, and I am probably not the best person to tell you how to figure out what your calling is. Maybe another guest of yours can help them with that.

Steven: Do you think everyone has a calling?

Mohnish: We are all unique children of God, and we all have some music we want to get out. Knowing what that is and getting it out may not be the easiest thing, but it is a worthwhile journey to try to get there. We cannot do this just because we are dissatisfied, and we cannot do this just because we want to make money and get rich. We have to have something that we think the world would be interested in.

In my case, I had gone through this session with a couple of industrial psychologists, and they told me, "Mohnish, you like to play games. You are a game player." They could not be more accurate. I am a numbers guy and a math guy, so I like that. When I was doing my start-up, because I had no money, I used to send 200 letters a week to the senior IT people at 200 different companies. All these people I was sending this letter to had a gatekeeper, some secretary whose job was to not let anything through. My whole purpose was that I need to get this letter through the gatekeeper. I

was using mail merge to mass-produce letters, but there was a customization. For example, if someone's name was David Smith, the letter would start with "Dear Dave." Throughout the letter, his name—Dave—would appear three or four times. When the assistant received the letter, she could not tell whether I knew Dave or not.

Steven: Because you used his shortened name?

Mohnish: His shortened name, and she does not want to throw a letter that is from somebody he knows. The letter would go through enough times. What I also did was one week after those letters were delivered, I called. I made 200 calls; I called all 200 people. If I got voicemail, I left a message. Right now, they have entered the sales funnel. Dave Smith, for example, is in the sales funnel. If I get no response from Dave Smith after one week, I will make one more call. Then the calls start getting spaced out: two weeks later, four weeks, eight weeks, sixteen weeks. But Dave never leaves that funnel until he explicitly tells me, "Do not bother me anymore," or "I have no interest." In the second week, I sent out another 200 letters and made another 200 calls. So now I have week one and week two running simultaneously. As time goes on, I am calling nonstop. Because I am a math guy, I was tracking everything: out of the 200 letters, how many got any positive response? How many meetings did I schedule? What was the ratio of calls to meetings, and meetings to closes? The ticket size of what I was selling was large; hundreds of thousands of dollars. Nine months into this, I looked back and realized that the work I was doing was more exciting than the orange. The yellow is more exciting than the orange.

Steven: What is the yellow?

Mohnish: The yellow is our start-up.

Steven: You mean working on your start-up?

Mohnish: Yes, so on the weekends, I am going to put in 10 hours a day because I am not working. On weekdays, I am going to do four hours a day because I have a job and other things going on. That gives me five weekdays at four hours each, and then 10 hours each on the weekend. As for free time, it is not as exciting as pounding Dave continuously until he either says, "Get off my back," or hands me a purchase order. That is way more exciting than scrolling through social media, watching Netflix, or doing anything else.

Steven: Which is what people currently do with their free time.

Mohnish: One of the litmus tests of whether you should be doing a start-up or not is that yellow needs to be more exciting than orange.

Steven: Your start-up needs to be more exciting than your free time.

Mohnish: Exactly. For example, Netflix should be so painfully boring for you. Or going on Facebook or Instagram should be boring for you.

Steven: Compared to building your company?

Mohnish: Yes. Like Pink Floyd's song says, "We don't need no education. We don't need no thought control." We do not need any of this. This is so useless. Yellow is where it is at. It is not the orange stuff. We do not need this.

Steven: We do not need any free time?

Mohnish: Building your business is better than free time. You are having an orgasm every hour. What can be better than this?

Steven: Much of what I do here when I am having these conversations is I am trying to put myself in the shoes of the person who is currently in a nine-to-five job. They have an idea, and their idea has not gone anywhere yet, necessarily. The pressure they are feeling in their lives is probably a financial one. They want financial freedom. They want more optionality in their lives to be able to go on a holiday, make more choices, and have more freedom. If you are that person, what are the mental models that we have not discussed yet that you need to be thinking about to get from zero to one?

Mohnish: One of the things to keep in mind is that we live in a world now where most things that you would want to do in terms of starting a business are not capital-intensive.

Steven: What does that mean?

Mohnish: It does not take much money. In fact, what has been happening over time is that start-ups need less and less and less money because they need more and more and more brainpower. The good news is that a gating factor is not that you need money. When I started my business, I signed up for every credit card that would come to me. I had 70,000 in unused credit lines in probably a dozen Visas and MasterCards. I had about $30,000 in my retirement account, my 401k, which I also took out. I said, "I can make that up later." I had a hundred thousand dollars of capital, and that hundred thousand got used because once I got going, I needed working capital. But then the business was cash flow positive.

Nine months later, I was able to get rid of this. After nine months, my business was producing enough cash flow that I went and resigned. What happened is that I went to my boss and his boss and told them, "I started a business. It is not competitive with your company. I am going to be leaving in two weeks. This is my two-week notice." They sat me down and said, "Mohnish, we were so confused for the last nine months. We met several times because we saw a big drop off in your performance, but it was never so low that we wanted to fire you." I said, "That was exactly what I was trying to do. I was trying to stay just about firing level." He said, "Well, you mastered it because we met several times, but we could not get rid of you." They then told me, "When your business fails, please come back." They said "when" and not "if." "We will give you more money. You are going to get a promotion, and we would love to have you back." I could immediately come back. I thought, "I got one free shot. I leave my job, I do this thing, and if it does not work, I am back to almost exactly where I was. Almost no change."

Steven: Amazon's type one, type two decision-making idea.

Mohnish: Yes. This is not just me. What risks does Bill Gates take? What is his value as a Harvard freshman in the job market? Zero. Nobody would pay him anything, and he could come back anytime and finish that degree. Let us say he went to New Mexico and things did not work out. He has wealthy parents in Seattle. He just comes back, graduates a year later, and goes on. What was the risk? There was no risk. If you study entrepreneurship, after entrepreneur, after entrepreneur, what are you going to find? If we look at Sir Richard Branson, he wants to start an airline. To start the airline, you need

a jumbo 747. That costs like 150 million. That is some serious money. Richard Branson got Virgin Atlantic off the ground with zero risk. Here is what he did. You replace capital with creative thinking. He called 2065551212, which is directory assistance in Seattle, Washington, and he asked for the phone number for Boeing. He calls the main Boeing switchboard.

Steven: Boeing sells the planes, right?

Mohnish: Yes. Boeing makes the 747. He calls the main switchboard of Boeing, a giant company, and says, "I would like to lease a jumbo." They hang up on him. He calls about 30 times, and they keep hanging up. Finally, they get tired of his calls, and the lady says, "Let me put you in touch with somebody who is in charge of leasing, and they can tell you to get lost." She transfers him to a person who is actually leasing jumbos. This person tells Richard, "Mr. Branson, in every country we have one customer, and in the UK that is British Airways. We have nothing to talk about." He says, "If British Airways called you and said that they wanted to lease an old used jumbo, do you have one lying around?" The guy says, "As a matter of fact, we do, but that is academic." He says, "Well, what would you lease to British Airways?" What ended up happening is Boeing leased him that jumbo. The reason they leased him the jumbo is that they had one just sitting around. They did not have any risk because they thought, "The moment the guy does not make any payments, we are going to pull the plane." When you have an airline, you sell all the seats four months in advance. The cash has already come in. You pay for the fuel 30 days after the plane lands, and you pay for the lease after the plane lands. You do not need any capital. Virgin Atlantic got off the ground with zero capital. If you can start an airline that needs a jumbo with zero capital, you can start any business with zero capital.

When you look at business after business, after business, all of them start small. They are embryonic, they minimize risk, they get a few customers, and then after that, they just roll with the customers. That is how they get going. The important thing is that when we take the blue out (which is work), yellow is going to almost double or triple because this is where all the orgasmic activity is.

Steven: We quit the nine-to-five job, and we moved that time over to work on our start-up.

Mohnish: I was working on my start-up from 7 to 9 in the morning, and then I would come back at 6 PM and work till 10 or 12 in the evening.

Steven: When you had a job?

Mohnish: Yes, when I had my job. Then, I would work on the weekends. I was so desperate to just go full-time into it because I thought, "If I go full-time, I can tear it up." That is exactly what happened. First year, we did 400,000 in revenue. Second year, 1.4 million, third year, 3 million. By the sixth or seventh year, we were at about 15 to 17 million. It just grew because I had no shackles on me. I could just go full out. I knew all the statistics of these letters, so many calls, so many this and this means this and all of that, and it works. If it does not work, you can go back to your nine-to-five and give it another shot. You could do this a few times.

Steven: I think that is an unappreciated framework, as you call it, or mental model, which is because you said you sent 200 letters. Many times, kids come up

to me in the street and they say, “I have been looking for a job. I have sent six emails. No one has gotten back to me.” You can see that it has hit their confidence. They have arrived at the conclusion that getting a job is hard. It is impossible because they sent six emails. When I interview people like you, they all give me much bigger numbers. They say 200, 305, and there is something in this sort of law of averages, which is taking more swings.

Mohnish: When my daughter was graduating from Berkeley, she surprised me by saying she wanted to work at a hedge fund, even though her degree was not in business. She was not a natural candidate to be even considered. I asked her to make a list of every hedge fund in New York and LA and put them in Excel with the managing partner's name and address. We do not know people's email addresses, but we know everyone's mailing address, which is a public piece of data.

Steven: The address?

Mohnish: The address is easy. She got a list of about 1200 funds in LA and New York. I said, “What you are going to do is you are going to ask for the job, but you are going to have two pages behind that, giving them a stock tip. You are going to give them a pitch that you have written up of a company that, if they invest in, they are likely to make money. We then sent the 1200 letters. All physical letters, no emails. Right. One letter reached an 85-year-old retired guy in New York. The fund does not exist anymore. It should not have been on the list. But he has a friend in LA, he says, “Hey, Jamie, aren't you looking for an analyst? This girl seems to have the perfect kind of background.” She ends up with a higher salary than anyone who went to Berkeley Business School with a much higher GPA than hers.

Steven: I was thinking about what you are saying, and I made a video the other day that I think is relevant. I was trying to explain how to send a message that actually creates impact. The framework I came up with– (we will animate this on screen)–has two axes.

The first axis is signal versus noise of the channel you are using. A high-signal channel reaches the person, bypassing the personal assistant. A high-noise channel, on the other hand, is the opposite. It would be something like sending an email to the company’s email address. It is overloaded, everyone uses it, and your message never gets through.

The second axis is the emotional impact of the message. High emotional impact is doing what you said, like putting a stock tip in there. You are going to stand out. They are going to think you are a little bit strange. Or what you said about shortening the name that creates more emotional resonance. Low impact is the opposite: generic, copy-paste, AI-generated.

Mohnish: Absolutely.

Steven: High signal channel, high emotional resonance.

Mohnish: Absolutely.

Steven: But what ends up happening is people send loads of messages down here, and then they get depressed and demotivated and say, “No one is getting back to me.

Mohnish: Like Michael Jordan used to say, “You miss every shot you don’t take

Steven: Exactly.

Mohnish: One of the things about entrepreneurs is that you need to have resilience. Like for me, the data I was looking for is that if I send 5,000 letters, which takes 25 weeks, six months, how many meetings does that end up in? If that ends up with 10 meetings or 20 meetings, well, now I have my number. Then the second part is the meeting to close ratio. As a math guy, I was just interested to know that it is not zero. I just want to make sure. I could see quickly that it was not zero. Literally within the first two, three months, I could see it was not zero.

Steven: One of the most formative experiences you can give your children, which I got at 16 to 19 years old, was working in cold telesales. My job at 16 years old was to call people at 9:00 PM cold and try and get them to buy windows and doors. It taught me the exact lesson you are describing, which is yes, 80% of people will tell you "no."

Mohnish: 98% say that, but it does not matter.

Steven: I always say that 80% rejected me. 15% said it nicely. And then 5% were at least receptive to what I had to say. Maybe 1% close. But when you understand that, you think of life through that lens.

Mohnish: I had almost the same experience. My father was an entrepreneur. He was smart at identifying what I call "offering gaps," like things that should exist in the world but do not. He would get these businesses off the ground with no money. I saw him do it repeatedly. His downfall was, he was extremely aggressive in growing the businesses, so they did not have staying power. There was almost no equity, always levered. He went bankrupt eight or nine times. When I was about 11 or 12 years old, my brother and I were like his board of directors. Because he had nobody else. The three of us would sit down at night to figure out how to make the business last for one more day, okay. Everything was caving in. The creditors were closing in, and the business was collapsing. Every day, the question was: How do we make it work for just one more day? Then the next night, we would regroup and ask again: How do we make it work for one more day? When I was 16, and I do not know why my dad did this, but I am so grateful he did, he started taking me along with him. At the time, he owned a gold jewelry factory in Dubai and was cold-calling shops in person, trying to sell what he manufactured. He took me with him on many of these trips, and I was 16, just like you. We would take the taxi from Dubai to Abu Dhabi, and there were all these gold shops. He does not know any of them, but he was going to one after another. I would be stunned. That fifth shop, he makes a sale. It is a small sale because he has no trust and all that, but he has made the sale. Then I noticed that after three months, we went back to that same shop, and we made a little sale too. The guy brings out tea. There is a lot of chemistry and a bigger order. Then I saw the orders increase. Then he continues to do that. I went with him to Doha, Qatar. Again, the same thing. I saw how those doors opened, and I saw how it did not matter to him when they closed. That was irrelevant to him.

Steven: This is interesting; a new way to think about it. Because what you are saying there is that when you get that one, it is a seed that is being planted that can grow into something.

Mohnish: We just care about the ratio and the number. What effort did it take? Like I was saying, if I send 5,000 letters and I get 20 meetings, that is awesome. That is a fantastic ratio because one sale is going to get me about 200,000 or 300,000. It is a significant amount. I do not need large numbers.

Steven: How about the lifetime value of that?

Mohnish: It is huge. These relationships I have are still with me. They are forever.

Steven: Here is a philosophical way to think about this for everyone: You can probably remember conversations you had in your life that felt totally inconsequential at the time, but years later, that seed grew into a business relationship. The example I always give is when I was 14, I applied for *The Apprentice*. They were doing this junior version on the BBC. Long story short—about 35,000 kids from London and across the UK applied. While I was queuing up for my audition, I met a kid in line who said, "Oh, my dad runs this $500 million company." And I thought, "Yeah, whatever. Not interested." I went through the auditions and ended up not getting on the show for whatever reason. I would have gotten about $25,000 investment in my company if I had won. Because we were waiting in the queue that day, I was nice to this kid, and I added him on Facebook. Five years later, when I was working on my start-up, I got a message on Facebook. That kid from the line says, "Hey, my dad has sold his business for a billion dollars, and I have been watching you on Facebook for the last five years. My dad would love to meet you." It was an Indian family, the Ahluwalia's, who had sold a business called Euro Car Parts. They took me to London when I was literally so broke. I was shoplifting food to feed myself. His dad invested double what I would have won on the show into my business. That always reminded me that every conversation that I have is like planting a seed that at any point in my life could turn into something.

Mohnish: I always bring up Adam Grant's book *Givers and Takers*. I do not know if you have seen that all humans on the planet fall into one of three categories. They are either a giver or a taker, or a matcher. There are no other categories of humans. These are the three categories. The matchers are relatively simple to understand. Their mental framework is, if Steven does me a favor, I am going to try to do something similar for him. One-to-One. The takers, whom you do not have nothing to do with, are trying to scam and screw everyone. Always take and never give. The takers go nowhere. If you have any takers in your life, get rid of them. The givers are not focused on what comes back to them. They just want to help you. They want to help humanity. What ends up happening is the universe conspires to help them, and so the givers become the most successful. Everyone is trying to give to them, even though they are not asking for it. That is the book that Adam Grant wrote. Givers and Takers is one of the mental models. This is a great mental model to have; to be a giver. Do not play math games. Always try to make sure the other guy gets the better end of the deal, and just keep going through your life that way. That goodwill will compound, and it will take care of itself.

Steven: You do not need to worry about the time horizon.

Mohnish: You are not doing it to get something back. That is the key. You are not doing any mathematics like I am going to do. You are not calculating; I am going to do this. X, Y, Z happens. You are just doing it. End of story.

Steven: Many founders come to me. These early-stage founders who say, "My customers like me. I do it better. I do not trust anybody." I am wondering if you have a mental model for this.

Mohnish: If you look at people like Elon Musk and Steve Jobs, they believe their number one job is recruiting. The first 3000 people who joined SpaceX were all personally interviewed by Elon. Just think about that. Those are 3000 hires. Think about the number of interviews to get the 3000 hires. He did not believe there was any other way. What Steve Jobs used to say is that A players want to work with A players. The moment you start introducing B players, B players will hire B and C players. They will never hire an A player. The moment you get a B player, your journey downhill starts.

As an entrepreneur, we have a lot of demands on our time. But recruiting has to be at the top, and you have to be willing to spend inordinate amounts of time on recruiting. There are tools that you can use. There is a company called Caliber that we use for pre-employment testing. Between the genetics of a human and the first five years of their life experience, who they are and their traits will become hard-coded. That is not going to change from 5 to 95. You are not going to change a human; humans are the way they are. These pre-employment tests can provide you with data that you are not going to get an interview.

Recruiting is important. I have found that sometimes we hire people who may not do things as well as we do. But what I have also found is that I have so many people on my team who are better than me. They are better at many of these things because doing those jobs does not come naturally to me. That is when you get a huge bang for your buck, when your team players are way better than you.

Steven: How do you think about firing people? This is the other thing I hear from founders.

Mohnish: Hire slow, fire fast

Steven: Founders do struggle with the "fire fast" part.

Mohnish: It is extremely important to "fire fast." That is more important than "hire slow." You are doing the person a service because they may be exceptional in another role at another place. You are helping them try to find that, and you are helping your other team members.

Steven: If I wanted to work for one of your companies, what is the one non-negotiable trait you would look for? What is the trait that, if I demonstrate, you would immediately not even consider me?

Mohnish: The most important thing is integrity. We want three traits: intelligence, integrity, and willingness to work hard. None of these three is negotiable.

Steven: How do you define integrity?

Mohnish: It is simply absolute honesty. It is black and white. You conduct yourself with the highest levels of ethical standards. On all fronts, when you are dealing with a customer, working internally or externally, the moral standards need to be high.

Steven: When you think about your wealth, how much of it has come from building businesses versus being a great investor of the capital that you manage to make from those businesses?

Mohnish: Most has come from the investing side.

Steven: You are well known for being an excellent investor over many, many years. I will put a graph on the screen showing the returns of your investment strategy versus the Dow Jones. Have you seen this graph before?

Mohnish: I have not seen it this way, but people put up all kinds of things.

Steven: All this shows is that you are extremely good at investing. I want to know if I am starting my investing career, working in a nine-to-five job with a couple of thousand dollars in my bank account, how should I be thinking about investing? Should I even be investing?

Mohnish: Three things matter for getting great outcomes in investing: your starting capital (the amount you start with), the length of the runway (how long you are going to invest the money), and the rate of return.

Before I answer your question, I want to tell you a story. This is a true story. In 1623, the Native American Indians in New York who owned the island of Manhattan were approached by Dutch settlers who wanted to buy the island. They went to the Indians and said, "We would like to buy the island of Manhattan. It has great natural harbors. It can be a great place for us." The Indians and the Dutch reached an agreement to sell the island of Manhattan for $23. People often hear that and think, "Oh, the Indians got taken. The island of Manhattan for $23 is ridiculous." But let us imagine the Indians had a trust officer to whom they said, "Invest this $23 for the benefit of the tribe and try to do a decent job."

There is something known as the "Rule of 72." It is an important rule. I wish they would teach it more in high school than in elementary school. It tells us how long it takes money to double. It is some sort of mathematical hack. For example, if I am going to get a 7% return, and I do 72 divided by seven, that is approximately 10. At the 7% return, it is going to take 10 years for the money to double (7% compounded will take 10 years). If I have a 10% return, it will take seven years. 72 divided by 10 is seven. If I have a 15% return, it will take five years. 72 divided by 15 is approximately five. And if I have a 20% return, it will take three and a half years. So this Rule of 72 is a nice hack. It is important to know how long money takes to double because then we can start doing a lot of math in our heads. When we look at these Indians with the $23, if they were getting a 7% return, it would become $46 in 10 years, and then it would become $92 in 20 years and $184 in 30 years. If you go a hundred years, it is 10 periods of 10, and 10 periods of 10 is two to the power of 10. Two to the power of 10 is 1024. We throw away the 24 because we do not want to complicate the math, so at 7% for a hundred years, you would have a thousand times what we started with. This is why compounding becomes non-linear. Most people have a hard time getting their heads around it.

Steven: What do you mean by non-linear?

Mohnish: It means it is not going up in a straight curve. It is a hockey stick club. Therefore, in 1723, the Indians would have 23,000. It would have gone up a

thousand times. If they continue at the 7%, then in 1823, they would have 23 million, in 1923, they would have 23 billion, and in 2023, they would have 23 trillion. Today, the total wealth of every man, woman, and child in the United States is 150 trillion. One-sixth of that is not undeveloped land in Manhattan. If the Indians had invested at 7% a year for the last 400 years, they would have more money than owning the land. In a way, they were not taken. They were given a fair deal, but they just did not have a good trust officer to make it happen for them. The magic of compounding is that we started with $23 and we ended up with 23 trillion without having a great return; just 7%. It is not great, but it is not bad. It is okay. Let us now go back another hundred years to 1523. If in 1623, we have $23, which is 2300 cents, then a hundred years before that, in 1523, that would be 2.3 cents. If you gave them 2.30 cents in 1523, a hundred years later, that would be $23, and now it will be 23 trillion.

What I am trying to say is that if the runway is long enough, the starting capital does not matter. Even the rate of return does not matter if the runway is long enough. When people are thinking about investing, they have to keep a few things in mind. The first thing is to spend less than you earn. Always try to save the first dollar rather than the last dollar. If you are making $50,000 a year, put $5,000 into savings to start with, and then do the rest of your expenses after that. It is important to do that and start at a young age. When people start working at 22 or 23, they have to be saving then because that early money at 22 can compound for 50 years. That is what we want. We do not need to do heroic things with finding the next Nvidia or whatever else. We can just put it into an index. The important thing is to spend less than you earn and keep putting that five, seven, 10,000 every year into the savings. Do not go have a vacation in Hawaii with it. Let it keep compounding and just put it into a broad index.

Steven: For someone who has never invested before, which would probably be the majority of the audience, how do we simplify this even further in terms of just putting it in an index? What does that mean?

Mohnish: You could open an account at Fidelity, Interactive Brokers, or Robinhood. Open a brokerage account for little money.

Steven: There are lots of them in every country.

Mohnish: Then you could just ask them to buy you the S&P 500 index, for example, and they will get you invested in that.

Steven: The S&P 500 means the top 500 companies.

Mohnish: Yes. The 500 dominant businesses in the US, like NVIDIA, Microsoft, and Apple, are in there.

Steven: You are going to get your 10% a year if the trend holds over the last century.

Mohnish: The S&P has plenty of periods where it does nothing. It is somewhat overheated right now. But if you have a long enough time horizon and you are dollar-cost averaging in, it is perfectly okay. What you could also do as an alternative is buy Berkshire Hathaway. That is a stock, BRK.B. You could tell these people to just put it into Berkshire Hathaway. It is like an index. Again, it is a “set it and forget it” approach. You do not need to think about the investing side. You focus on the yellow, and keep putting this little

money away on the side, and it is going to compound. Let us go over this example. At 18, you put away $5,000, with a 10% return on the money. Fast forward to when you are 68, 50 years later. Let us say every seven years, your money doubles. Using the Rule of 72, if you divide 70 by 10, that is seven, 50 years is seven doubles. Seven times seven is 49. Two to the power of seven is 128. We can throw away the 28 to keep it simple. You are going to have a hundred times what you started with. So the 5,000 at 18 is going to be 500,000 at 68. At 19, if you put in another 5,000, that is another 500,000. At 20, you might have 10,000 you can put in. You can start seeing that over a lifetime, you are going to have too much money.

Steven: You have been referred to as the Dhandho Investor, and I have a book here, which you wrote called *The Dhandho Investor*. What does this word Dhandho mean, and why do they call you the D investor?

Mohnish: Dhandho is a word from Gujarat, on the western coast of India, where Gandhi came from. The people there are extremely astute businesspeople. If you translate Dhandho directly from Gujarati, it means "business," but it does not really mean business. What it means is it is a way of doing business where the downside is non-existent. We already discussed how Mr. Branson is a Dhandho investor. He had no downside. Mr. Gates was a Dhandho investor. He had no downside. Mr. Walton was a Dhandho investor. He also had no downside. All of these people embarked on businesses and built huge fortunes without taking risks. *The Dhandho Investor* is about how we can minimize risk while keeping the returns intact.

Steven: You use this example of the Patels. What is that story?

Mohnish: The Patels went to Uganda more than a hundred years ago, maybe closer to 130 years.

Steven: It was a family?

Mohnish: It is an ethnic group in India. This ethnic group came to Uganda to build the railroad. They were savvy business people, and over the course of the last hundred-odd years, when they were in Uganda, through their Dhandho methods of doing business, they became successful entrepreneurs and controlled large parts of the Ugandan economy. Idi Amin came to power in Uganda in the 1970s, and he said, "Africa is for Africans." He threw all the Patels out, and he nationalized all their assets. The Patels became stateless. The US, the UK, and Canada took them. When they landed in the US, they did not have any skills that would allow them to get good white-collar jobs. But some of them realized that if they bought a small 10 or 20-room motel, the family could live in one or two of the rooms, and they could use the money they got out and get a bank loan and run the motel. Motels are labor-intensive businesses. What they did is when a Patel took over a motel, they fired all the staff and the family took over all the jobs; the cleaning, the front desk, and everything else. The Patels are vegetarians, and they have a simple life. When a Patel took over a motel in an area, they were able to undercut the prices of all the other motels in the area because they had no labor, no payroll, no workers' compensation, none of those things. If everyone else is charging $25 a night, they are charging 19 a night. The occupancy was higher than everyone else, and they saved their money. They would then buy the next motel, send the nephew to run it, and then buy the next motel. This started happening in the early 70s. When you fast

forward to today, 80% of all the motels in the US are owned by Patels. Consider the numbers: Indians make up about 1.2–1.3% of the U.S. population, and Patels are only about one-tenth of that—roughly 0.1%. Yet this tiny group controls 80% of the motels in the country, and it is all because of the Dhandho way of doing business.

Steven: If I want to steal from the Dhandho way, you told me it is good to be a copier. What are the principles of the Dhandho way that I need to be thinking about? There were nine principles in total in the book.

Mohnish: Well, the most important one is "heads I win, tails I do not lose much." Everything we discussed today, Steven, is heads I win, tails I do not lose much. When I started my business, when Bill Gates started, when Sam Walton started, and when Richard Branson started, that was the formula. If they won, they would win big. If they lost, they would lose nothing. Everything in business is about risk reduction. Everything has to be about free lunches. We love free lunches. We always have to think about how to get this done without capital, without risk, and with free lunches.

Steven: Do you think there is an opportunity for people? Everybody at the moment is thinking about AI and technology, and these advanced new innovations as an opportunity. But does that create an opportunity in the boring—in the motel, in the laundromat?

Mohnish: The reality is that entrepreneurship is not studied much in business schools because nobody is going to give you a consulting project for studying entrepreneurs. If we study start-ups in the US or anywhere in the world, 99.99% of start-ups are non-venture-backed.

Steven: What does that mean?

Mohnish: What I mean by that is those are your laundromat, your Chinese restaurant, your eBay seller, your Amazon seller, and so on. The small businesses. None of those companies was formed because of venture capital. The media focuses on all the venture-capital-led businesses. People think, "Oh, if I have to do a start-up, I have to do something in technology." Well, that is like one-tenth of 1% or less. You can ignore it. You do not need to worry about it. The important thing is to be an observer and to look at what my dad would call "offering gaps."

Let me explain an offering gap. Let us say there is a town that we will call town A. In town A, there is a barbershop. The barber is one of many barbers doing well. There is another town about 30 miles away, town B, which also has barbers. They are also doing fine. There is a new township coming up in the middle of these two towns called town C. Town C does not have much of a population, but it is growing fast. The barber in town A goes to see what all the hoopla in town C is. He takes a trip there, sees that there is some increase in population, people are moving in, and he notices there are no barbershops. Why would there be any barbershop? Because it is brand new. He is thinking, "How do I do this without taking a risk?" What he does is he subleases a small storefront, buys some used barber equipment, and then decides that one day a week, he is going to go into that town and cut hair every Wednesday. He puts up a note board saying," I am available Wednesdays." What happens is people start coming in because they have no choice. If you do not go to this barber, you have to spend half an hour

driving to one of those two towns. Now, he normally charges 30 bucks for a haircut, but here he does not need to charge 30 because there is an opportunity cost of the time you are saving. He can charge 45. He charges 45 here, and in his own town, he charges 30. He notices that Wednesdays are filled up, so he says Tuesdays and Wednesdays. Gradually, what ends up happening is that business is full-time, and he is making 45 bucks per haircut. But the nature of capitalism is that more barbers are going to show up. The second barber comes in, the third barber comes in. Eventually, the haircut there is going to be 30 bucks. It is going to neutralize. In the meantime, he has doubled his business. What risk did he take? Going into town C was addressing an opportunity gap. When Howard Schultz started Starbucks, he saw an offering gap. He thought that what Italians loved about cafes might be what Americans would love too. It did not exist here, so he went and did it.

Steven: The barber who moves into town C first, at the beginning, is having a great time because there is no competition. One of your points about the Dhandho method is this idea of creating a durable moat. That is point four of the nine.

Mohnish: Every business starts without a moat.

Steven: What is a moat?

Mohnish: We have a castle with a knight in charge to keep the invaders away. One of the ways to keep the invaders away is to put a moat, which is water around the castle. When you put a moat around the castle, it makes it harder for anyone to take the castle. A business with a moat around it is a business that competitors will have a difficult time taking business away from. For the barber in town C, humans are creatures of habit. We do not like to change our barber every month. We like the same barber. If he is competent and good, his client base will stay with him.

Steven: One company I wanted to talk to you about is Apple. I find them an interesting company. You talked about being a copycat, arriving later to the party with new things. They have been a story of both sides of the equation. They have been innovative, especially under Steve Jobs, but more recently, they have been copying others. But now, I am not even sure what they are.

Mohnish: Apple is an unusual company in that everything emanated from one guy. That one guy has been gone for a long time. If you look at Apple, nothing new has come out since he left. We do not have a Steve Jobs at Apple. The same thing happened at Disney. They had to buy Pixar because there was no Disney anymore. Mr. Disney was gone. Apple today is somewhat risky.

Steven: Do you mean as an investment?

Mohnish: Yes. Currently, humans walk around with a brick in their pockets or in their hands. At some point, that form factor is going to change. It may be integrated into something we wear or some other more ergonomic situation that may or may not be Apple. In fact, it is more likely not to be Apple. It is probably some guy in a garage somewhere. If they are smart enough to find the guy in the garage early and get him in as Steve Jobs, that is okay. But even then, the odds are low.

Steven: What does this say to you about founders, the specialness of founders? Are they a unique animal, or can you swap them out and still be tremendously successful?

Mohnish: Well, I would say that there are a lot of elements of luck. First of all, founders are all great at what I call offering gaps. They find something that the world does not have but needs, and they go after it. Sometimes, what happens with the offering gaps is that a moat gets built. Someone starts Visa or American Express, and they become moat companies, which persevere and scale.

Steven: Like Apple with their closed ecosystem.

Mohnish: But 100% of businesses eventually will go to zero. It could be that a business could last for 50, 100, 150, or 200 years. It could last well past the founder's lifetime. Those are businesses that were built with a lot of principles and a lot of great core values. Take IKEA, for example. The founder made every decision with a 500-year view. How many businesses think with a 500-year view? I was studying IKEA and learned some remarkable things about it. First of all, IKEA never took on debt. Every single store was built out of retained earnings and cash. I have studied business failure quite a bit. The single biggest reason why businesses fail is leverage. They owe people money, and they cannot pay it back. IKEA has never taken debt. If you never take on debt as a retailer, you are going to grow more slowly. You have to keep bringing in the cash. But it is a solid foundation because it is on a rock-solid balance sheet. His second principle was that no two IKEA stores can be the same. What he said is that whenever we are opening a new IKEA store, there has to be some innovation that is going into that store that does not exist in our previous stores, because he believed that if I do not keep innovating, I am done. We do not notice it because we think all IKEA stores are the same, but if you study them and look at when they were built, you start seeing these incremental changes that they are making.

Steven: That is an interesting idea. It is something I could apply to everything I do—making sure that every podcast, every project, every piece of work includes one new experiment or innovation.

Mohnish: Absolutely.

Steven: But you have to make it measurable, or else it is not an experiment. You also talk about making fewer, bigger, infrequent bets. Who is that relevant for, and in what context?

Mohnish: One thing Warren Buffett says is that you get a punch card, which you can punch 20 times in your lifetime. Each time you buy a stock, one punch is gone. What Warren is saying is that if there were a rule that said that you cannot buy more than 20 stocks in your whole life, you would be thoughtful about what you bought. Those decisions might be good because you only have 19 left and then 18 left, and so on.

In venture investing, a small sliver of companies that venture capitalists invest in do well. If we look at the stock market, 4% of listed companies generate 90% of the return. Most companies that we may think about investing in are likely not to do well for us. It is a 96% odds, and that is why the index is so important. When you buy the index, you buy that 4%. If you

go pick stocks, you have about a one in 25 chance of getting one of those 4%.

Steven: You mentioned earlier the punch card analogy of 20 things in the punch card. You have to pick 20 in your life. If you only had three to five things that you would bet on now, what would those things be?

Mohnish: I am trying to resist going to specific names because that would hurt people more than help people.

Steven: Okay. That is fair.

Mohnish: I would prefer people focus on the other two variables: how much you are saving and the length of the runway. Focus on the index. It is like saying, "I want to be a great AI developer." It will take time. That is the nature of the situation.

Steven: What do you think about these people who day trade? Many young people, specifically men, are being sucked in by these ads promising they can day trade their way to wealth.

Mohnish: It is not good. The brokers are going to make all the money. Robin Hood will do. Not you.

Steven: Do you think anyone can make loads of money as a long-term day trader?

Mohnish: I look at it this way. If you study the Forbes 400 (the 400 richest people in the world), I do not see any day traders in there.

Steven: One of the last things I wanted to ask you about is this idea of circling the wagons. What does circling the wagons mean?

Mohnish: Warren Buffett has said that over his 50 years of running Berkshire Hathaway, he has made hundreds of investments, and only 12 have moved the needle for Berkshire Hathaway. It is the same 3 or 4% rule, where if we say that Warren made 300 investments (he probably made more than 300), only 12 have resulted in what we see as Berkshire Hathaway today. The important thing was not the buy decision on those 12; it was never selling them.

Circle the wagons is a term that comes from the 19th century, when pioneers and wagon trails were moving west, the native Indians or bandits would attack them. What they would do is put themselves in a circle. They would circle the wagons, then defend that circle as best they could with their guns. The wagons being circled were the best possible way of trying to face off that attack. In effect, they circle the wagons around the crown jewel. When I am talking about circle of wagons, what I am saying is that in a lifetime of investing, there are a few times when you are going to have a huge "multibagger."

Steven: What is that?

Mohnish: A big winner; something that goes up 10X, 50X, or even 100X. What you want to do is you want to effectively circle the wagons around that idea so it does not get sold. We are not going to know before we invest whether something is going to be a multibagger or not, but we may figure it out after we own it. We are not going to know it before we own it. After we own it, we may

understand the business well enough, and if it is a great business, you do not want to sell it.

Steven: When I meet people like you, I am inspired. We spend a lot of time thinking about the wins, the great decisions. We have talked about that when I showed you the graph of your great decisions. What is the worst decision you made in terms of financial performance?

Mohnish: Well, I have had so many zeros. There are mistakes of commission, which are things that went to zero, and there are mistakes of omission, which are far worse. The biggest mistakes I have made are not the ones that have gone to zero. The biggest mistakes I have made are the ones that I sold and I should not have; when I should have circled the wagons, but I did not. Those were extremely costly.

Steven: Can you give me one example?

Mohnish: About 13 years ago, in 2012, I invested in a company called Fiat Chrysler Automobiles as it was coming out of bankruptcy after the financial crisis. They had gotten rid of all that debt, and the stock was extremely cheap. You could buy the whole business for $5-6. One of the things I did not pay too much attention to at the time was that 80% of Ferrari was inside Fiat Chrysler. They owned 80% of Ferrari. They also had many other assets, which I liked, like Ram trucks, Jeep, and Maserati. When I looked at the business, I thought the business was worth many times more than the five or 6 billion, even ignoring Ferrari, and I was right. In the end, I made several times my money, and in 2017 or 2018, they took Ferrari public. They then listed the company, and it looked like they had captured all the value, so I sold. I used to own approximately 1% of Ferrari as part of that purchase that I had made. 80% of Ferrari was in this $5 billion company. Ferrari now has a market cap of almost a hundred billion, and I would have about a billion more if I had not done that stupid thing. I made a couple of hundred million on this whole thing, but it would have been a lot more. All I needed to do was just not sell it.

Steven: Do you deal in crypto at all? Do you invest?

Mohnish: No. It is outside my competence. I do not understand it.

Steven: One thing I know about you, which is rare for someone dealing with billions, is that you have a smile on your face. You genuinely seem happy.

Mohnish: What is the point of the billions if you are not happy?

Steven: Well, a lot of people are not, as you know.

Mohnish: Then they have lost their way somewhere. On a daily basis, I specifically ask myself, “How do I want to spend today?” I do not focus on maximizing money. I focus on maximizing what Mohnish loves, and that changes all the time. But that is the way it is.

Steven: What is that currently?

Mohnish: Right now, it is golf. One of the things I struggled with today was that there was not going to be any golf. So I said, “It is either Steven or golf. Should I go to Steven or should I go golfing?” So I told myself, “You know what. Let me give the arms a rest. Let me go meet Steven.”

Steven: I am glad you did. You probably just answered my next question. We have a tradition where a guest leaves a question for the next guest, not knowing who it will be. The question left for you is, “If you could go anywhere right now instantly, where would you go?”

Mohnish: I would go to the golf course.

Steven: Thank you so much. It is a pleasure. Thank you for everything that you do. It is incredibly important. I now know why people love listening to you and learning from you. It is because you have this most remarkable ability to tell deeply engaging stories. Thank you so much.

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